

POLICY BRIEF: REAL EXCHANGE RATE SUPPRESSION IN TURKEY

Purchasing Power Parity (PPP) Macroeconomic Risk Projection (2026–2028)

EXECUTIVE SUMMARY

Based on September 2026 baseline data (1 USD = 48.33 TRY), a 21-month macroeconomic simulation across 3 scenarios was executed. Even if disinflation targets are achieved, the accumulated exchange rate adjustment risk reaches **25.7% – 49.8%** by the Snap Election horizon (Nov 2027) and **27.1% – 59.4%** by the Regular Election horizon (May 2028).

Scenario Comparison Matrix

Scenario	Nov 2027 Fair Rate	May 2028 Fair Rate	Cumulative Risk Gap (%)
Optimistic	69.31 TRY	71.02 TRY	25.7% - 27.1%
Base	73.26 TRY	76.90 TRY	34.7% - 36.0%
Pessimistic	81.52 TRY	90.13 TRY	49.8% - 59.4%

Policy Recommendations

- Gradual FX Flexibility:** FX rate growth should be gradually aligned with disinflation to preserve export competitiveness.
- Structural Reforms:** Support productivity-driven, high-value-added export sectors rather than relying solely on exchange rate advantages.